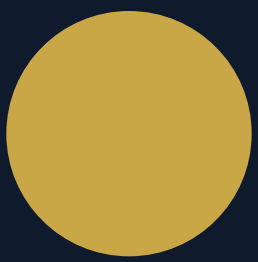
Horizon Capital Partners

Fund IV | Q1 2026 Quarterly Limited Partner Report

Confidential - For Limited Partners Only | Hypothetical Demo



14.9%	1.45x	0.17x	$1.245B	6.2%
Net IRR	TVPI	DPI	NAV	Q1 revenue growth

Styled redesign of the final GP/LP letter using the uploaded Horizon Ventures design reference.

EXPANDED INVESTOR EDITION

Q1 2026 Quarterly Limited Partner Report

This designed edition reframes the accurate GP / LP quarterly report into an institutional investor document: fund-level returns, NAV progression, operating performance, valuation support, governance workflow, audit lineage, and a focused Q2 control agenda.

14.9%	1.45x	0.17x	$1.245B	6.2%
Net IRR	TVPI	DPI	NAV	Revenue growth

> **Quarterly momentum was constructive: portfolio revenue increased, fund-level returns remained positive, and the reporting package now emphasizes source-backed controls, review gates, and LP-ready governance.**

Table of Contents

- 1. Executive Summary
- 2. Fund-Level Performance Dashboard
- 3. Portfolio Operating Performance
- 4. Company-Level Detail
- 5. Valuation and Exposure
- 6. Risk Register and Q2 Priorities
- 7. Data Lineage and Approval Controls
- 8. Stakeholder Review Workflow
- 9. Closing Letter and Appendix

1. Executive Summary

A constructive quarter, supported by growth, valuation discipline, and controlled reporting.

Dear Limited Partners,

Horizon Capital Partners Fund IV delivered a constructive first quarter. Portfolio revenue increased 6.2% quarter-over-quarter and disclosed-company weighted EBITDA margin was 20.6%. Fund IV ended the quarter with NAV of $1,245 million, TVPI of 1.45x, DPI of 0.17x, and net IRR of 14.9%. Operating performance was broad-based, with Nexus Dynamics posting the strongest growth and Lumina Health maintaining the highest disclosed EBITDA margin.

The quarter also reinforced a governance lesson central to institutional LP reporting: the value of automation is not only a more polished report. The higher-value opportunity is source-backed, auditable fund reporting that links every number, calculation, narrative statement, review decision, and final output to a controlled workflow.

Key governance message: automate the workflow behind the letter - ingestion, extraction, normalization, validation, review, approval, and traceable final distribution.

Key takeaways

- Fund IV reported net IRR of 14.9%, TVPI of 1.45x, and NAV of $1.245B at quarter-end.
- Portfolio revenue increased 6.2% QoQ, with Nexus Dynamics leading company-level growth.
- Weighted EBITDA margin of 20.6% shows growth converting into operating profitability, excluding companies with undisclosed EBITDA.
- Valuation support and LP metrics require CFO, fund accounting, valuation committee, IR, legal, and Managing Partner approval before distribution.
- Missing EBITDA and gross margin disclosures are captured as exceptions rather than smoothed over in narrative.

2. Fund-Level Performance Dashboard

Core LP metrics and fund accounting values for Q1 2026.

Fund Metric	Q1 2026	Definition / Use
LP Commitments	$1.50B	Committed capital from LPs
Contributed Capital	$975M	Paid-in capital
Unfunded Commitment	$525M	Remaining callable capital
Distributions	$165M	Returned capital and proceeds
NAV	$1.245B	Fair value net asset value
Gross IRR	18.4%	Before fund-level fees and carried interest
Net IRR	14.9%	LP-level return after fees and carried interest
TVPI	1.45x	(NAV + distributions) / contributed capital
DPI	0.17x	Distributions / contributed capital
RVPI	1.28x	NAV / contributed capital

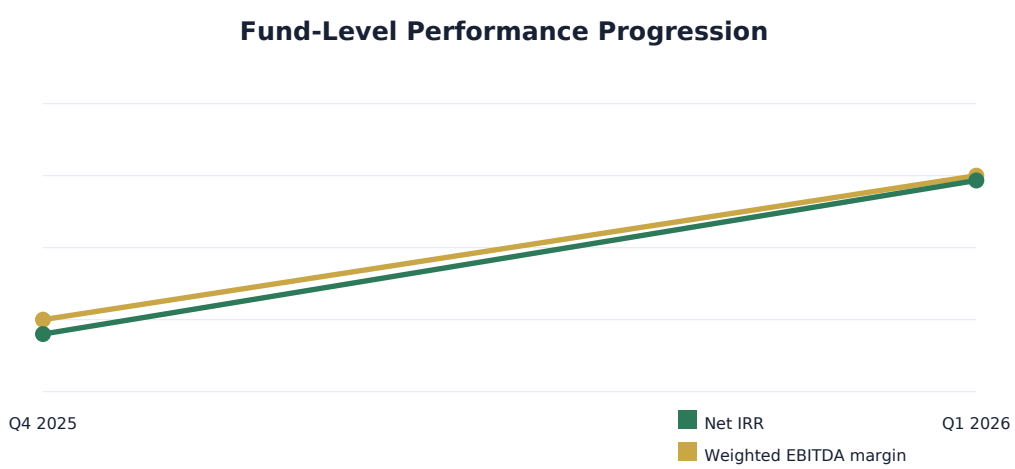
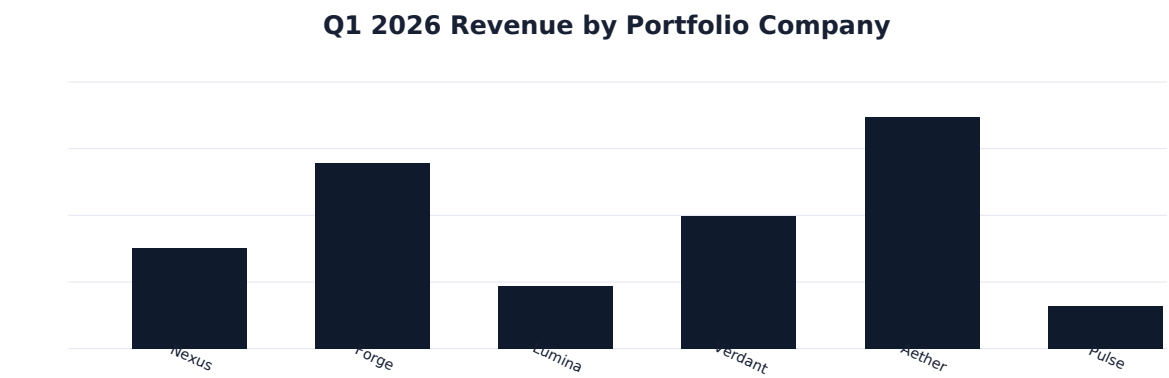


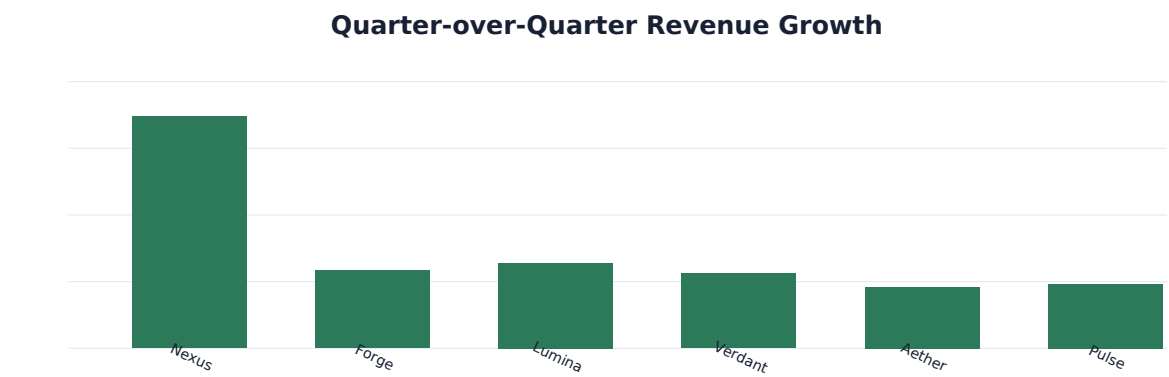
Figure 1. Net IRR and weighted EBITDA margin improved during Q1, while the fund maintained substantial remaining unfunded commitment for selective follow-on investment.

3. Portfolio Operating Performance

Growth, profitability, liquidity, and company-level exception signals.



Source: normalized portfolio company KPI tracker



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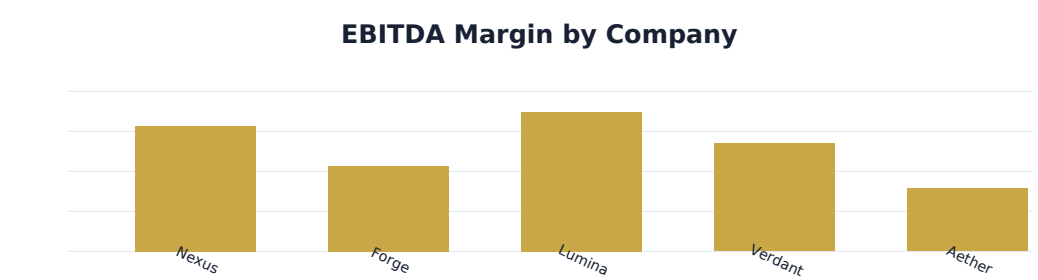
Figure 2. Aether Logistics and Forge Manufacturing are the largest revenue contributors, while Nexus Dynamics was the fastest-growing holding in Q1.

Operating performance was broad-based, but the system intentionally preserves exceptions: Pulse did not disclose EBITDA and Lumina did not provide gross margin in the quarter.

4. Company-Level Detail

A normalized view of portfolio company submissions and watch items.

Company	Sector	Revenue	Growth	EBITDA	Margin	Liquidity	Watch Item
Nexus Dynamics	SaaS	$67.4M	15.8%	$18.9M	28.0%	$31.2M	ARR conversion; renewal discipline
Forge Manufacturing	Industrial	$124.8M	5.3%	$23.7M	19.0%	$47.0M	Leverage 3.1x; capex sequencing
Lumina Health	Healthcare Tech	$42.1M	5.8%	$13.1M	31.0%	$22.0M	Gross margin gap; KPI consistency
Verdant Consumer	Consumer Goods	$89.3M	5.1%	$21.4M	24.0%	$38.6M	Commodity exposure; channel mix
Aether Logistics	Transportation	$156.2M	4.2%	$21.9M	14.0%	$68.0M	Fuel volatility; volume normalization
Pulse Biosciences	Biotech	$28.7M	4.4%	N/D	N/D	$41.0M	EBITDA not disclosed; R&D runway



Source: normalized portfolio company KPI tracker

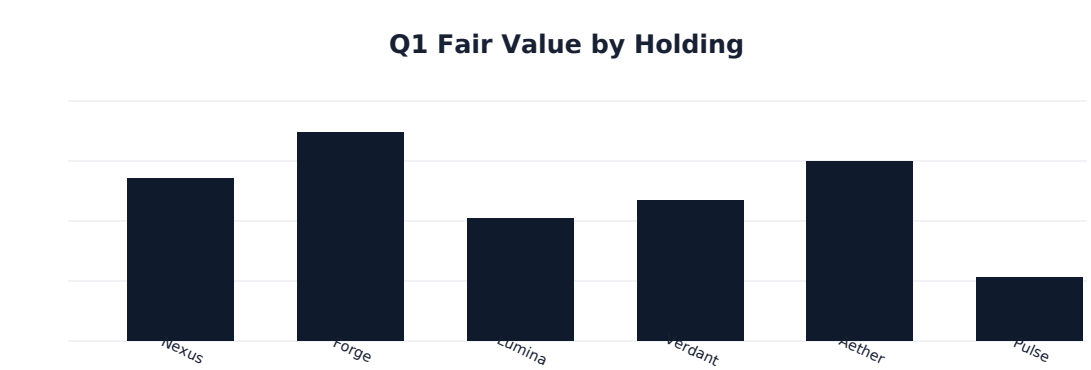
Figure 3. Lumina Health and Nexus Dynamics reported the highest disclosed EBITDA margins. Pulse is excluded because EBITDA was not disclosed.

5. Valuation and Exposure

Fair value progression, gross MOIC, and valuation committee focus.

Aggregate portfolio company fair value increased from $1,285 million to $1,359 million. The gross MOIC across listed holdings was 1.49x on aggregate cost of $915 million. Before LP distribution, the valuation committee should confirm that public market multiples, company-specific performance, debt levels, and liquidity trends support each fair value mark.

Company	Cost	Q4 FV	Q1 FV	Change	Gross MOIC
Nexus Dynamics	$140M	$225M	$252M	+$27M	1.80x
Forge Manufacturing	$220M	$310M	$323M	+$13M	1.47x
Lumina Health	$120M	$180M	$189M	+$9M	1.57x
Verdant Consumer	$160M	$210M	$218M	+$8M	1.36x
Aether Logistics	$190M	$265M	$278M	+$13M	1.46x
Pulse Biosciences	$85M	$95M	$99M	+$4M	1.16x



Source: normalized portfolio company KPI tracker

Figure 4. Fair value remains concentrated in Forge, Aether, and Nexus, reinforcing the need for company-specific valuation support and review gates.

6. Risk Register and Q2 Priorities

A focused action agenda for preserving LP confidence and closing reporting gaps.

Risk / Issue	Current Signal	Potential LP Concern	Q2 Mitigation
Pulse EBITDA non-disclosure	Revenue and gross margin provided; EBITDA not disclosed.	Limits visibility into burn, runway, operating leverage, and valuation bridge.	Request EBITDA bridge, R&D; spend detail, cash runway, and milestone reporting.
Lumina gross margin gap	Gross margin missing from Q1 package.	Reduces comparability and quality-of-earnings analysis.	Require standardized KPI package with gross margin, retention, and implementation metrics.
Forge leverage	Net Debt / EBITDA of 3.1x.	May constrain strategic flexibility if demand softens.	Working-capital release, procurement savings, debt reduction, and capex sequencing.
Narrative over-generation	AI-generated report may create unsupported claims if not grounded.	LP trust and compliance risk.	Require source citations, calculation lineage, review attestations, and legal approval.

Q2 action agenda

- Standardize portfolio company reporting templates.
- Reconcile every company source package to the fund administrator tracker.
- Complete valuation committee review before narrative lock.
- Route the investor-ready draft through CFO, IR, legal/compliance, and Managing Partner approval.
- Preserve audit trail of every override and final distribution decision.

Highest-return control action for Q2: improve reporting consistency while preserving clear evidence of source lineage, reviewer ownership, and final approval.

7. Data Lineage and Approval Controls

How each report element links back to sources, reviewers, and control evidence.

Report Element	Primary Source	Required Reviewer	Control
Portfolio company KPIs	Company packages, board decks, KPI Excel files	Deal team / portfolio ops	Extraction confidence score and exception queue
NAV, TVPI, DPI, IRR	Fund admin package and accounting workbook	CFO / fund controller	Formula validation and reconciliation to books
Fair value marks	Valuation memo, comps, DCF / market multiples	Valuation committee	Approval gate before LP draft generation
Narrative commentary	Deal team notes and management commentary	IR and Managing Partner	Source-backed statements or AI-generated flag
Legal disclaimers	Compliance checklist and prior approved language	Legal / compliance	Mandatory approval before distribution
Distribution list	LP registry and permissions	Investor relations	Role-based distribution and watermarking

The redesigned report treats traceability as a first-class deliverable: every LP-facing metric should connect to a source file, normalized value, formula, review owner, and final approval state.

This page is the bridge between the visually polished LP report and the operational workflow that makes it defensible. It demonstrates how Auquan can support enterprise-grade reporting rather than unconstrained document generation.

8. Stakeholder Review Workflow

Internal stakeholders and approval gates required before LP distribution.



Review gates

Investment team	Portfolio narrative, company KPIs, value creation commentary
Fund accounting / CFO	NAV, LP metrics, capital activity, reconciliations
Valuation committee	Fair value marks, valuation methodology, supporting evidence
Investor relations	LP-facing tone, consistency, final presentation
Legal / compliance	Disclosures, confidentiality, marketing language, distribution controls

The workflow ensures the final LP letter is not simply generated; it is controlled, reviewed, approved, and auditable.

9. Closing Letter and Appendix

Closing remarks, metric definitions, and source note.

Thank you for your continued partnership and confidence in Horizon Capital Partners Fund IV. The portfolio entered Q2 2026 with positive operating momentum, adequate liquidity, and a disciplined focus on execution across holdings. We remain focused on converting growth into durable value creation while strengthening transparency around the areas that require continued attention.

Jonathan Hale
Managing Partner
Horizon Capital Partners

Appendix: metric definitions and notes

Metric	Definition / Use
Net IRR	LP-level internal rate of return after fund-level fees, expenses, and carried interest.
TVPI	Total value to paid-in capital; calculated as NAV plus distributions divided by contributed capital.
DPI	Distributions to paid-in capital; measures realized value returned to LPs.
RVPI	Residual value to paid-in capital; measures remaining NAV relative to contributed capital.
EBITDA margin	EBITDA divided by revenue; used as a profitability and operating-efficiency indicator.
Fair value	Quarter-end carrying value reviewed through the GP valuation process.

Source note: This redesigned report is based on the corrected hypothetical PE / GP reporting package and styled to match the visual design language of the uploaded Horizon Ventures reference: dark institutional cover, gold accents, pale section banners, dashboard metrics, clean tables, and chart-led investment narrative.

Confidentiality notice: This document is intended for limited partner discussion purposes only and should not be distributed without authorization from Horizon Capital Partners.